

Agenda Item 2-F (Updated)

Matters Addressed in this Paper

The changes set out below to selected definitions and requirements illustrate the 'reconnection' of the material previously moved to definitions back to the requirements. These proposed changes, predominantly for the *understanding of the entity's system of internal control*, also reconnect the evaluation of each of the components of the system of internal control to the understanding required for that component. The reformatted text has been shown in clean unless there has been a change to the words (shown in marked) from **Agenda Item 2-F** posted for the June 2019 IAASB meeting.

Board member comments and suggested changes related to some of these requirements presented below still need to be considered by the Task Force, but the Board's directional views about how these revised requirements could be presented will help the Task Force in finalizing the standard for discussion in September 2019.

Other specific aspects where changes have been proposed (these proposed changes are also shown in marked) include:

- *Definitions* – proposed changes to the definitions of inherent risk factors and significant risk to address Board comments. (The other definitions shown in clean below are for reference to illustrate what will remain in definitions (i.e., these definitions have not been 'reconnected' as the Task Force is of the view that these are by nature definitions)).
- *Inherent risk factors* – relating to the auditor's understanding of the entity and its environment, and the applicable financial reporting framework, in paragraph 23, to more appropriately explain the application of the inherent risk factors.
- New headings to help navigate within the standard.

Matters for Board Consideration

Board members are asked for their views about the changes as explained above and presented in this Agenda Item.

Definitions

16. For purposes of the ISAs, the following terms have the meanings attributed below:

(a) ...

~~(ca) *Control activities* – The entity's procedures to implement its policies that relate to the other components of the entity's system of internal control. (Ref. Para: A2a)~~

(d) *Controls* – Policies or procedures that are embedded within the components of the system of internal control to achieve the control objectives of management or those charged with governance. In this context:

- (i) Policies are statements of what should, or should not, be done within the entity to effect control. Such statements may be documented, explicitly stated in communications, or implied through actions and decisions.

- (ii) Procedures are actions to implement policies. (Ref: Para. A3–A4)
- (e) *General information technology (IT) controls* – Control activities that support the continued proper operation of the IT environment, including the continued effective functioning of information processing controls and the integrity of information (i.e. the completeness, accuracy and validity of information) in the entity's information system. General IT controls are controls over the entity's IT processes. Also see the definition of *IT environment*.
- (f) *Inherent risk factors* – Characteristics of events or conditions that affect susceptibility to misstatement, whether due to fraud or error, of an assertion about a class of transactions, account balance or disclosure, before consideration of controls. Such factors may be qualitative or quantitative, and include complexity, subjectivity, change, uncertainty or susceptibility to misstatement due to management bias or misappropriation of assets or other fraud risk factors¹ in so far as they affect inherent risk. (Ref: Para. A5–A6)
- (g) *IT environment* – The IT applications and supporting IT infrastructure, as well as the IT processes and personnel involved in those processes, that an entity uses to support business operations and achieve business strategies. For the purposes of this ISA:
 - (i) An IT application is a program or a set of programs that is used in the initiation, processing, recording and reporting of transactions or information. IT applications include data warehouses or report writers.
 - (ii) The IT infrastructure comprises the network, operating systems, and databases and their related hardware and software.
 - (iii) The IT processes are the entity's processes to manage access to the IT environment, manage program changes or changes to the IT environment and manage IT operations.
- ~~(ga) *Other relevant sources of audit evidence* – Information that is relevant to identifying and assessing risks of material misstatement from:~~
 - ~~(i) The auditor's acceptance or continuance of the client relationship or the audit engagement;~~
 - ~~(ii) Other engagements performed by the engagement partner for the entity, where applicable.~~
- ~~(gb) *Relevant aspects of the control environment* – The set of controls, processes and structures that address:~~
 - ~~(i) How management's oversight responsibilities are carried out, such as the entity's culture and management's commitment to integrity and ethical values;~~
 - ~~(ii) When those charged with governance are separate from management, the independence of, and oversight over the entity's system of internal control by, those charged with governance;~~
 - ~~(iii) The entity's assignment of authority and responsibility;~~

¹ ISA 240, paragraphs A24–A27

- ~~(iv) — How the entity attracts, develops, and retains competent individuals; and~~
- ~~(v) — How the entity holds individuals accountable for their responsibilities in the pursuit of the objectives of the system of internal control.~~
- ~~(gc) — Relevant aspects of the entity and its environment — These comprise:~~
 - ~~(i) — The entity's organizational structure, ownership and governance, and its business model, including the extent to which the business model integrates the use of IT;~~
 - ~~(i) — Industry, regulatory and other external factors; and~~
 - ~~(ii) — The measures used, internally and externally, to assess the entity's financial performance.~~
- ~~(gd) — Relevant aspects of the entity's process to monitor the system of internal control — Those aspects of the entity's process that address:~~
 - ~~(i) — Ongoing and separate evaluations for monitoring the effectiveness of controls, and the identification and remediation of control deficiencies identified; and~~
 - ~~(ii) — The entity's internal audit function, if any, including its nature, responsibilities and activities.~~
- ~~(ge) — Relevant aspects of the entity's risk assessment process — Those aspects of the entity's process that address:~~
 - ~~(i) — Identifying business risks relevant to financial reporting objectives;~~
 - ~~(ii) — Assessing the significance of those risks, including the likelihood of their occurrence; and~~
 - ~~(iii) — Addressing those risks.~~
- ~~(gf) — Relevant aspects of the information system and communication~~

~~Relevant aspects of the information system — The entity's information processing activities, including its data and information, the resources to be used in such activities and the policies that define, for significant classes of transactions, account balances and disclosures:~~

 - ~~(i) — How information flows through the entity's information system, including how:~~
 - ~~a. — Transactions are initiated, and how information about them is recorded, processed, corrected as necessary, and incorporated in the general ledger and reported in the financial statements; and~~
 - ~~b. — Information about events and conditions, other than transactions, is captured, processed and disclosed in the financial statements.~~
 - ~~(ii) — The accounting records, specific accounts in the financial statements and other supporting records relating to the flows of information in the information system;~~
 - ~~(iii) — The financial reporting process used to prepare the entity's financial statements, including disclosures; and~~

~~(iv) The entity's resources, including the IT environment, relevant to (i)–(iii) above. (Ref: Para. A8a)~~

~~Relevant aspects of communication—Communications in relation to significant matters that support the preparation of the financial statements and other reporting responsibilities in the information system and other components of the system of internal control:~~

~~(i) Between people within the entity, including how financial reporting roles and responsibilities are communicated;~~

~~(ii) Between management and those charged with governance; and~~

~~(iii)(i) With external parties, such as those with regulatory authorities.~~

...

- (ha) *Risks arising from IT* – Susceptibility of information processing controls to ineffective design or operation, or risks to the integrity of the entity's information in the entity's information system, due to the ineffective design or operation of the entity's IT processes (see IT environment).

...

- (k) *Significant risk* – An identified risk of material misstatement:

(i) For which the assessment of inherent risk is close to the upper end of the spectrum of inherent risk due to the degree to which the inherent risk factors affect the combination of one or a combination of the inherent risk factors affect the likelihood of a misstatement occurring and the magnitude of potential misstatement should that misstatement occur; or

(ii) That is to be treated as a significant risk in accordance with the requirements of other ISAs.² (Ref: Para. A10)

- (l) *System of Internal Control* – The system designed, implemented and maintained by those charged with governance, management and other personnel, to provide reasonable assurance about the achievement of an entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations, and compliance with applicable laws and regulations. For the purposes of the ISAs, the system of internal control consists of five inter-related components:

(i) Control environment.

(ii) The entity's risk assessment process.

(iii) The entity's process to monitor the system of internal control.

(iv) The information system and communication.

(v) Control activities.

² ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*, paragraph 27 and ISA 550, *Related Parties*, paragraph 18

Requirements

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Information from Other Relevant Sources of Audit Evidence

19. In obtaining audit evidence in accordance with paragraph 17, the auditor shall consider information from other relevant sources of audit evidence:
- (a) The auditor's acceptance or continuance of the client relationship or the audit engagement; and
 - (b) Where applicable, Other engagements performed by the engagement partner for the entity, where applicable.

20. [deleted]

Information from the Auditor's Previous Experience with the Entity and Previous Audits

21. Where the auditor intends to use information obtained from the auditor's previous experience with the entity and from audit procedures performed in previous audits, the auditor shall evaluate whether such information remains relevant and reliable as audit evidence for the current audit.

...

Obtaining an Understanding of the Entity and its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control

Understanding the Entity and Its Environment and the Applicable Financial Reporting Framework

23. The auditor shall <u>perform risk assessment procedures to</u> obtain an understanding of <u>relevant aspects of</u>:	
(a) The <u>following aspects of the</u> entity and its environment, including how events and conditions are subject to, or affected by, the <u>inherent risk factors</u>: (i) The entity's organizational structure, ownership and governance, and its business model, including the extent to which the business model integrates the use of IT; (ii) Industry, regulatory and other external factors; and (iii) The measures used, internally and externally, to assess the entity's financial performance; and	(c) <u>The components of the entity's system of internal control. How events and conditions are subject to, or affected by, the inherent risk factors in the preparation of the financial statements in accordance with the applicable financial reporting framework.</u>
(b) The applicable financial reporting framework, <u>including and</u> the entity's accounting policies and the reasons for any changes thereto, and	

...

Understanding ~~the Relevant Aspects of~~ the Components of the Entity's System of Internal Control

25. [Moved]

26. [Deleted]

Control Environment, the Entity's Risk Assessment Process and the Entity's Process to Monitor the System of Internal Control.

Control environment

28. The auditor shall <u>perform risk assessment procedures to obtain an understanding</u> evaluate the relevant aspects of the control environment by determining whether <u>through</u> : (Ref: Para. A105–A114a)	
(a) <u>Understanding</u> the set of controls, processes and structures that address: (i) How management's oversight responsibilities are carried out, such as the entity's culture and management's commitment to integrity and ethical values; (ii) When those charged with governance are separate from management, the independence of, and oversight over the entity's system of internal control by, those charged with governance; (iii) The entity's assignment of authority and responsibility; (iv) How the entity attracts, develops, and retains competent individuals; and (v) How the entity holds individuals accountable for their responsibilities in the pursuit of the objectives of the system of internal control.	(b) <u>Evaluating whether</u>: (i) Management, with the oversight of those charged with governance, has created and maintained a culture of honesty and ethical behavior; (ii) The control environment provides an appropriate foundation for the other components of the system of internal control; and (iii) Control deficiencies undermine the other components of the system of internal control.

29. [deleted]

The entity's risk assessment process

30. The auditor shall perform risk assessment procedures to obtain an understanding evaluate whether the relevant aspects of the entity's risk assessment process through and the relevant aspects of the entity's process to monitor the system of internal control are appropriate. (Ref: Para. A117–A120 and Para. A123–A128a; Para. A131–A135a)	
(a) <u>Understanding the</u> entity's process for: (i) Identifying business risks relevant to financial reporting objectives; (ii) Assessing the significance of those risks, including the likelihood of their occurrence; and (iii) Addressing those risks.	(b) Evaluating whether the entity's risk assessment process is appropriate <u>to the entity's circumstances considering the nature and size of the entity.</u>

31. If the auditor identifies risks of material misstatement that management failed to identify, the auditor shall obtain an understanding of why the entity's risk assessment process failed to identify such risks of material misstatement.

The entity's process for monitoring the system of internal control

<u>31A. The auditor shall perform risk assessment procedures to obtain an understanding of the entity's process for monitoring the system of internal control through:</u>	
(a) <u>Understanding those</u> aspects of the entity's process that address: (i) Ongoing and separate evaluations for monitoring the effectiveness of controls, and the identification and remediation of control deficiencies identified; and <u>(ii)</u> The entity's internal audit function, if any, including its nature, responsibilities and activities.	(b) <u>Evaluating</u> whether the entity's process for monitoring the system of internal control is appropriate <u>to the entity's circumstances considering the nature and size of the entity.</u>

32. [deleted]
33. The auditor shall obtain an understanding of the sources of the information used in the entity's process to monitor the system of internal control, and the basis upon which management considers the information to be sufficiently reliable for the purpose.
34. [deleted]

Information System and Communication, and Control Activities (Ref: Para. A135b–A135h)

The information system and communication

36. The auditor shall perform risk assessment procedures to obtain an understanding evaluate whether the relevant aspects of the entity's information system and communication through appropriately support the preparation of the entity's financial statements in accordance with the applicable financial reporting framework. (Ref: Para. A135i–A159)	
(a) <u>Understanding</u> the entity's information processing activities, including its data and information, the resources to be used in such activities and the policies that define, for significant classes of transactions, account balances and disclosures: (i) How information flows through the entity's information system, including how: a. Transactions are initiated, and how information about them is recorded, processed, corrected as necessary, and incorporated in the general ledger and reported in the financial statements; and b. Information about events and conditions, other than transactions, is captured, processed and disclosed in the financial statements. (ii) The accounting records, specific accounts in the financial statements and other supporting records relating to the flows of information in the information system; (iii) The financial reporting process used to prepare the entity's financial statements, including disclosures; and <u>(iv)</u> The entity's resources, including the IT environment, relevant to (a)(i) to (a)(iii) above; <u>and</u> (b) Communication in relation to <u>Understanding how the entity communicates</u> significant matters that support the preparation of the financial statements and other reporting responsibilities in the information system and other components of the system of internal control: (i) Between people within the entity, including how financial reporting roles and responsibilities are communicated; (ii) Between management and those charged with governance; and (iii) With external parties, such as those with regulatory authorities.	(c) <u>Evaluating</u> whether the relevant aspects of the entity's information system and communication appropriately supports the preparation of the entity's financial statements in accordance with the applicable financial reporting framework.

37. [deleted]

38. [deleted]

Control activities

39. The auditor <u>shall perform risk assessment procedures to obtain an understanding of</u> shall identify controls that address risks of material misstatement at the assertion level in the control activities through component, as follows: (Ref: Para. A160–A179)	
(a) <u>Identifying</u> controls that address risks of material misstatement at the assertion level in the control activities component, as follows: (i) Controls that address risks that are identified as a significant risk; (ii) Controls over journal entries, including non-standard journal entries used to record non-recurring, unusual transactions or adjustments; (iii) Controls that are necessary for the auditor to identify to achieve the objectives in paragraph 17(a) and (b) because of where the assessments of the related risks of material misstatement at the assertion level fall on the spectrum of inherent risk; and (iv) Controls for which the auditor plans to test operating effectiveness in determining the nature, timing and extent of substantive testing, which shall include controls that address risks for which substantive procedures alone do not provide sufficient appropriate audit evidence. (b) Based on controls identified <u>in (a), identifying</u> the IT applications and the other aspects of the entity's IT environment that are subject to risks arising from the use of IT. <i>(previously part para. 40)</i> <u>(c) For such IT applications and other aspects of the IT environment, the auditor shall identify identified in (b), identifying:</u> (i) The related risks arising from the use of IT; and (ii) The entity's general IT controls that address such risks. <i>(previously part para. 40)</i>	<u>(d) For each control identified in the control activities component, the auditor shall in (a) or (c)(ii):</u> (i) <u>Evaluating</u> whether the control is designed effectively to address the risk of material misstatement at the assertion level, or effectively designed to support the operation of other controls; and (ii) <u>Determining</u> whether the control has been implemented by performing procedures in addition to inquiry of the entity's personnel. <i>(previously para. 41)</i>